LEGAL DUE DILIGENCE REPORT

Project Quartz — Velloran Hygiene Limited
Prepared by Whitfield Carter LLP for Strathmore Capital Partners LLP

Dated 12 February 2026 | Strictly private and confidential

1. Executive summary

This report summarises the findings of our legal due diligence review of Velloran Hygiene Limited (the "Company"), a manufacturer of specialist industrial and healthcare hygiene and cleaning products based in Warrington. Our review covered corporate, commercial, employment, property, intellectual property, litigation and compliance matters, based on documents made available in the Data Room between 8 January and 9 February 2026 and replies to our enquiries. No issues were identified that, in our view, should prevent the transaction proceeding, subject to the specific points flagged as Red and Amber below.

2. Key findings

Area	Finding	Rating	Recommended action
Customer contracts	Supply agreement with Wexbourne Retail (c.18% of revenue) contains change-of-control termination rights.	Amber	Obtain consent or specific indemnity pending completion.
Property	Leasehold premises (Warrington) with tenant break in June 2028; landlord consent required for assignment.	Amber	Confirm status and monitor break notice.
IP	UK trade mark ‘VelloSan’ registered; EU application pending.	Green	No action required.
Employment	Open grievance (warehouse operative); exposure < £15,000.	Green	Specific disclosure; no price impact.
Bank security	Debenture in favour of Clydesford Bank plc over the Company's assets.	Amber	Obtain release of DS1 at completion.
Litigation	No material claims against the Company; one debt claim being pursued (£28,400).	Green	None.
HSE	Historic COSHH improvement notice (2022) complied with and closed.	Green	None.

3. Corporate

The Company is properly incorporated with a clean filing history. Share capital comprises 1,000,000 ordinary shares of £1 held 48% / 32% / 20% by Geoffrey Velloran, Patricia Velloran and Aldermarsh Nominees Limited respectively. The statutory registers were made available and appear complete. There are no options or other rights over unissued shares.

4. Commercial contracts

The principal commercial risk is the change-of-control right in the Wexbourne Retail supply agreement. The customer has informally indicated support but no formal consent had been obtained as at the date of this report. We recommend the SPA include a specific indemnity pending consent. Other material contracts are on standard terms and do not contain change-of-control provisions.

5. Financial and tax interface

Financial and tax due diligence was led by Marlow Tax & Advisory Ltd. We note the December 2025 stock provisioning adjustment of £72,000, which is reflected in the figures underpinning the Completion Accounts and the Target Working Capital of £4,100,000. The Tax Covenant in Schedule 7 addresses pre-completion tax exposures.

6. Conclusion

Subject to the Red and Amber actions above being addressed through the SPA, the Disclosure Letter and completion deliverables, we consider the Company suitable for acquisition on the agreed terms.